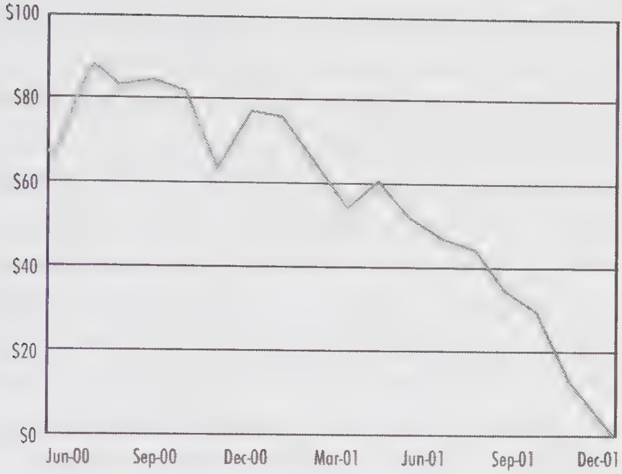

Figure 8.2. Enron share price, January 2000–December 2001

Source: "Enron Stock Price Chart and Data," Famous Trials, accessed August 23, 2020, https://famous-trials.com/enron/1791-stockchart.

Obviously, these two examples are extreme, and you will probably not experience such incredible fortune or profound tragedy. The point of these two illustrations is to highlight the high risk and reward of investing in individual companies. In the next section, I will demonstrate a more conservative, slow-and-steady approach to investing in the market.

Diversifying Your Investments

As you have seen, putting all your money into individual stocks is a bit risky. Sure, you can make a crazy amount of money if things go well, but you can also lose all your money. To protect yourself from losing all your money in a single investment, you should be diversified. **Diversification** is a technique in which you spread